

Community Preservation Act: It's on the Ballot for the May 13, 2025 Election

At the October 22, 2024 Egremont special town meeting, the Town approved adopting the Community Preservation Act. Under state law, the CPA must now be voted on at Egremont's election on May 13, 2025.

Frequently Asked Questions

- 1. What is the Community Preservation Act?** The CPA is a state law passed in 2000 that enables a community to add a surcharge to local property taxes, and thereby qualify for additional state funds. <https://www.communitypreservation.org/about>.
- 2. What are CPA funds used for?** CPA funds may only be used for (a) affordable housing, (b) historic preservation and (c) open space and recreation.
- 3. How are CPA funds allocated?** At least 10% of CPA funds must be allocated to each of the three categories. The allocation could be 80% housing, 10% historic preservation, 10% open space and recreation; or evenly distributed; or any combination of percentages, as long as each category gets at least 10%.
- 4. Who decides how CPA funds are spent?** The Select Board will appoint a Community Preservation Committee. The Committee will accept applications for CPA grants, review those applications and ultimately recommend how to spend (or save) each year's funds. The Town Meeting then makes the final decision.
- 5. Who is exempt from the CPA surcharge?** You do not pay any of the CPA surcharge if you are a property owner (a) whose household income is less than 80% of the Area Median Income¹ or (b) who is 60 years or older with an income less than 100% of the AMI.
- 6. How much will the CPA surcharge cost Egremont's non-exempt property owners?** The CPA surcharge is based on the assessed residential property value minus \$100,000. As shown on the back of this sheet:

Assessed Residential Property Value	Annual Surcharge of 3%
\$250,000	\$28.17
\$500,000	\$75.12
\$750,000	\$122.07
\$1,000,000	\$169.02
- 7. How much could the CPA generate for Egremont?** As shown on the back, in 2025 Egremont would have generated approximately \$141,351, plus approximately \$19,789 in state funds, for a total of approximately \$161,141.

¹ The Area Median Income varies based on the number of people in the household. For a family of four, 100% AMI is \$109,500.

8. **What have other Berkshire towns used CPA funds for?**² Some examples: Great Barrington funded its Down Payment Assistance program and the historic preservation of 343 Main Street (formerly BCC branch). Stockbridge funded various outdoor recreation projects. Lenox supported its trail network. [Toolkit-2022-Community-Preservation-Act.pdf \(berkshireplanning.org\)](#).

How the CPA surcharge is calculated

The CPA surcharge would be 3% of your real estate taxes (not of your assessed property value) after excluding the first \$100,000 of your property's assessed value. Thus, the formula is: **Assessed Residential Property Value *minus* \$100,000; then \$6.26 x every \$1,000 of assessed value x 3%**. For example:

\$250,000 (assessed value) minus \$100,000 = \$150,000
\$6.26 x 150 = \$939 (taxes based on assessed value minus \$100,000)
\$939 x 3% = \$28.17 (CPA surcharge).

CPA Funds to be generated to Egremont

In 2025, Egremont would have generated approximately \$141,351 in CPA funds based on our total Assessed Residential Property Value.³

- \$871,171,800 is **Total Assessed Residential Property Value**
- There are **1,185 taxable residential properties**
- $1,185 \times \$100,000 = \$118,500,000$ (the Assessed Value NOT subject to CPA)
- $\$871,171,800 \text{ minus } \$118,500,000 = \$752,671,800$ (Assessed Value Subject to CPA)
- $\$752,671,800 \text{ divided by } 1,000 = \$752,671.80$
- $\$752,671.80 \times \$6.26 = \$4,711,725.46 \times 3\% = \$141,351.76$ (amount generated to Town by 3% CPA surcharge)

State Funds (estimated) that would have been added

$\$141,351.76 \times 14\%^4$ (state contribution) = \$19,789.24 (state dollars)

$\$141,351.76 + \$19,789.24 = \$161,141.00$ total Town and State

² As of March 2025, 200 towns and cities have adopted the CPA, including Becket, Great Barrington, Lee, Lenox, Pittsfield, Sheffield, Stockbridge, West Stockbridge and Williamstown.

³ This figure might be lower depending upon how many households would have qualified for the exemptions in footnote 1.

⁴ The level of state contribution varies each year.

